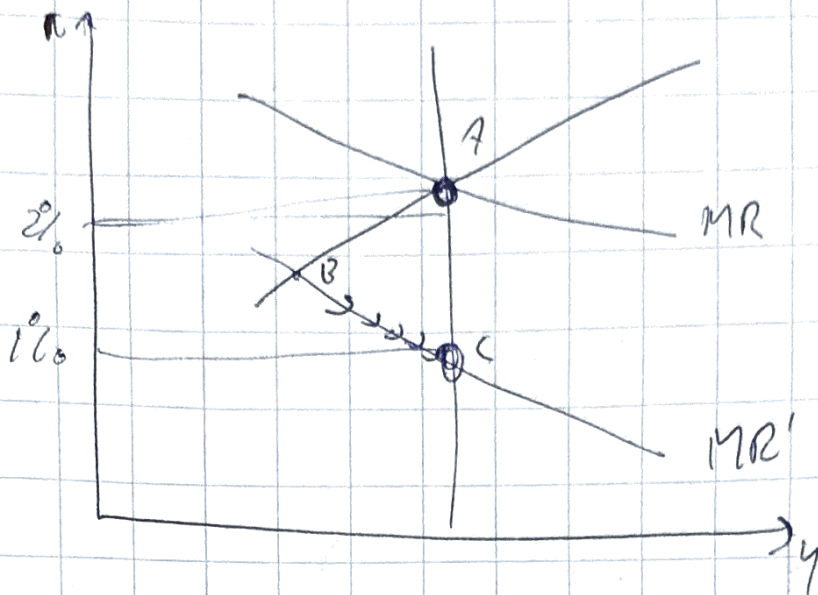


②

II)



t : nothing happens $\rightarrow A$

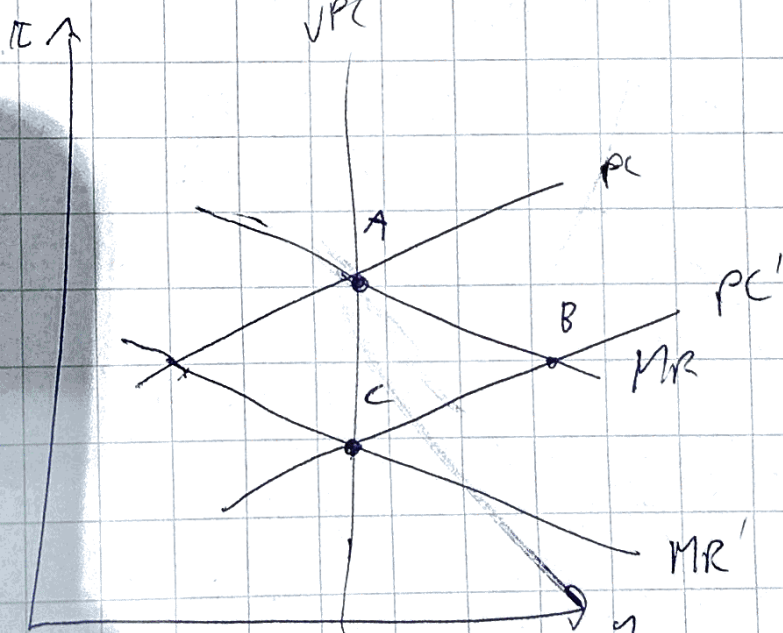
$t+1$: MR moves down to MR' , CB increases interest rates to move economy to point B.

$t+2$: Move along MR' to C over 2 quarters periods.

III)

inflation just moves down in Real t.t.
(explain this move)

III)



t : Private sector already expects lower inflation so PC moves to PC' , but MR stays the same

so CB moves economy to point B.

$t+1$: ~~CB~~ MR moves to MR' and CB moves economy to C

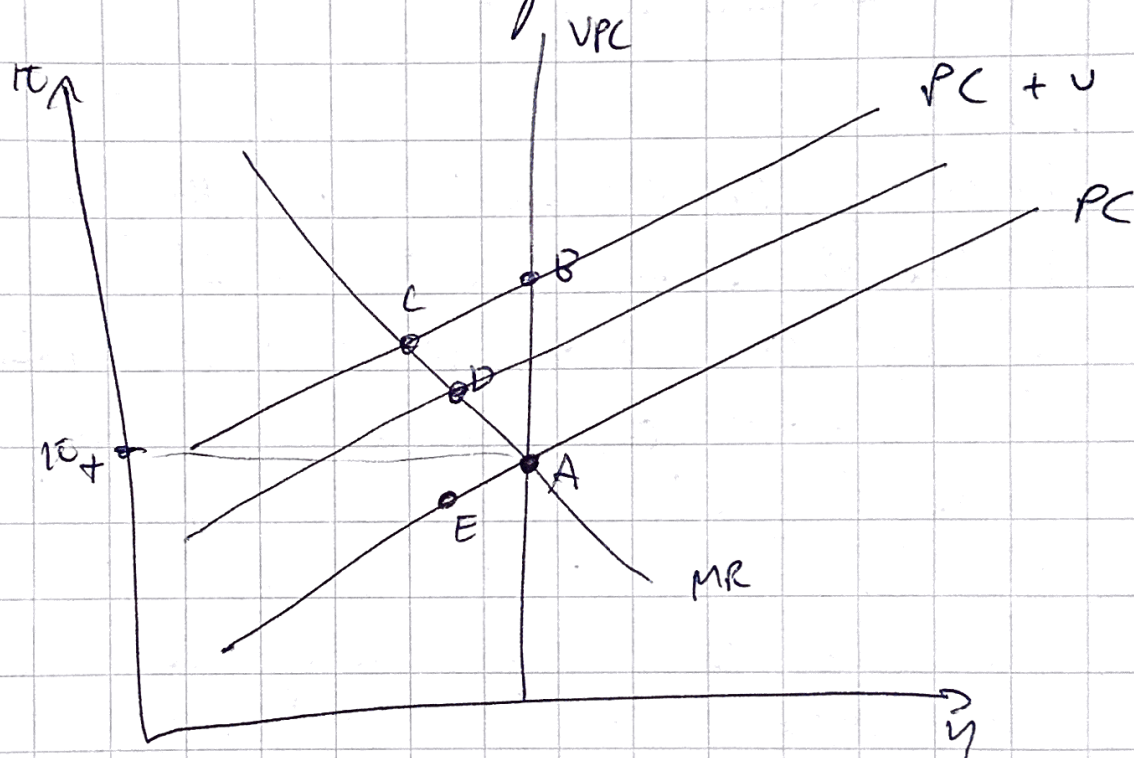
BS Day Plan:

(Sorry will do full essay next week)

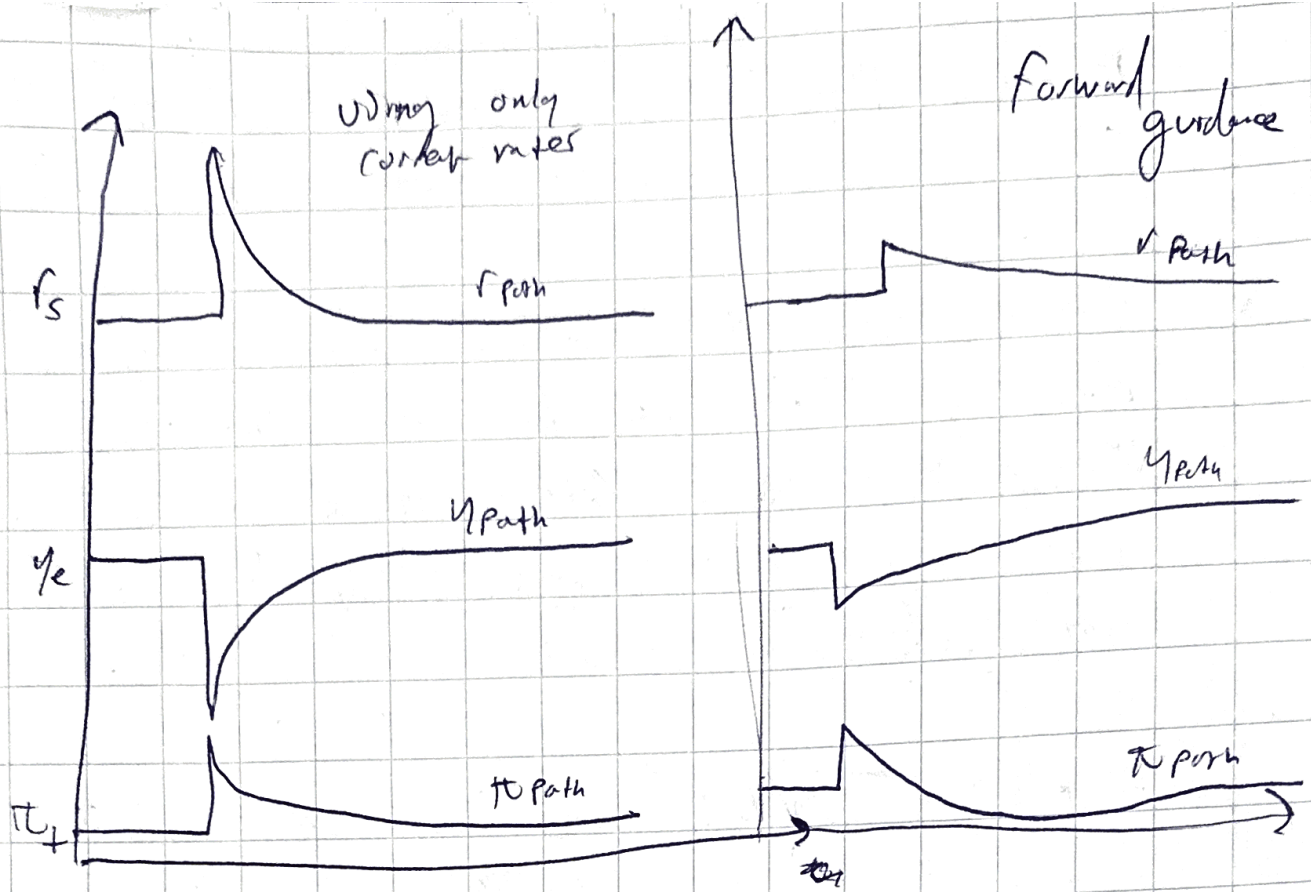
Explain how the time inconsistency of monetary policy can lead to a stabilization bias.

~~Explain~~ How would the introduction of a price path target for monetary policy help to address the stabilization bias?

- Explain model using a cash push shock:

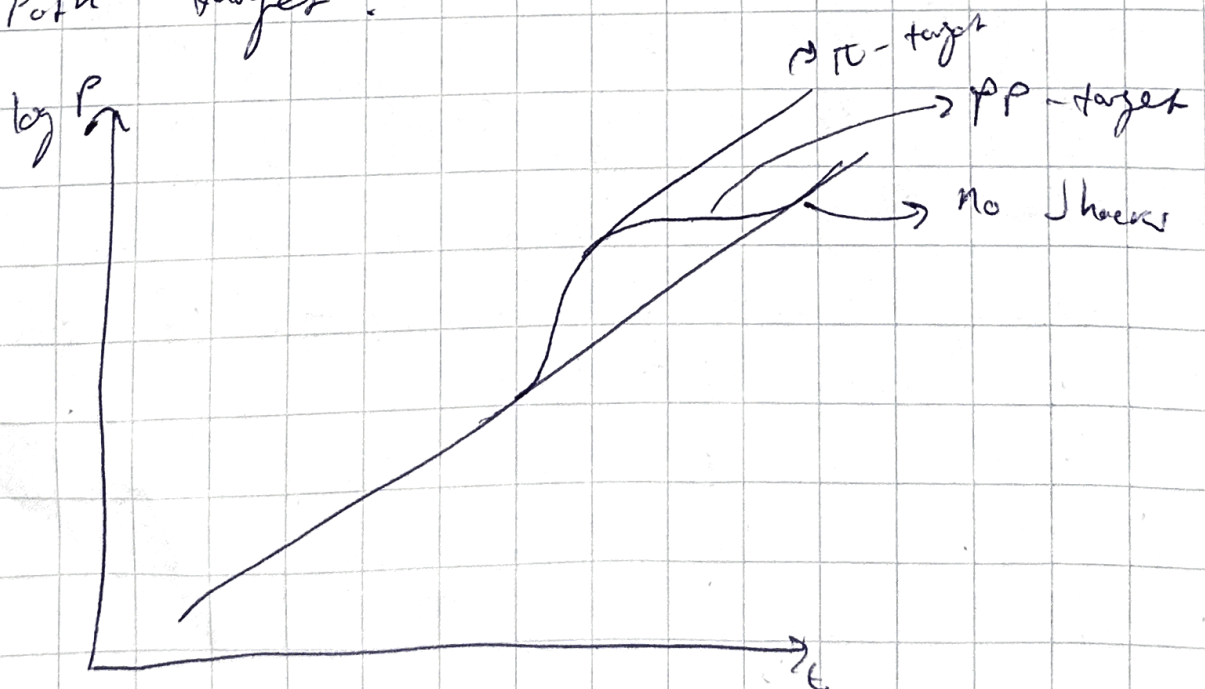


- Explain that using forward guidance, the Central Bank can make it so that the economy won't go $A \rightarrow B \rightarrow C \rightarrow A$ but instead it can go from B to D and the E way forward guidance which is better since the loss function is quadratic.



- However, forward guidance is not ~~the~~ credible ~~&~~ since CB would like to go from point D to A instead of going to E. So it is not time consistent.

- This can be fixed using a Price Path target:

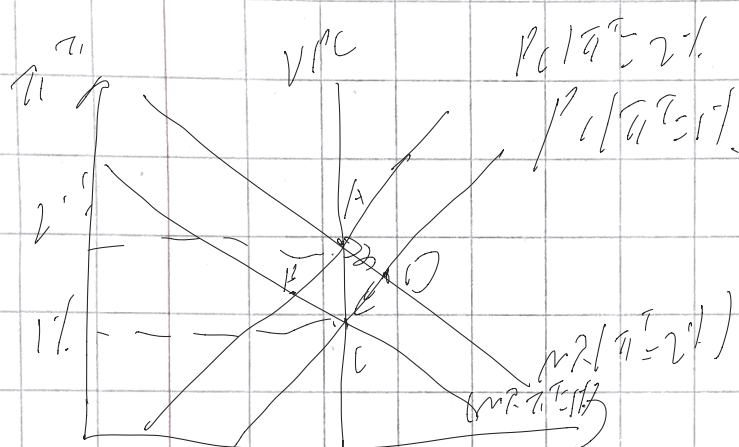


- this way there is an incentive to go to point E!

- Example: Sweden in 1930s after exiting the gold standard adopted a PP-target and was able to facilitate a relatively quick ~~re~~ recovery from the great depression.

downside of PP-target:

- if you had like hyperinflation then you need to have massive deflation so then you're better off just announcing a inflation target



under HKPC: $A \rightarrow t-1$
in the HKPC it is expected inflation
rate matter, so in t $r2[\pi^e=2\%]$ still

applied, but the constraint becomes
 $p[\pi^e=2\%]$, so in $t-1$ it can
be at point D

in $t+1$,

once $r2[\pi^e=1\%]$ take effect

$\hookrightarrow$ gradual disinflation, so,

easy move to L.